

Retail Research	IPO Note
Sector: Pharma (CDMO)	Price Band (Rs): 329 - 346
25th October 2023	Recommendation: Subscribe for Long Term Horizon

Blue Jet Healthcare Limited

Company Overview:

Blue Jet Healthcare Ltd is a specialty pharmaceutical and healthcare ingredients and intermediates company, offering niche products targeted toward innovator pharmaceutical companies and multi-national generic pharmaceutical companies. The company has established a contract development and manufacturing organization (CDMO) business model on the back of strategic and early investments in R&D and manufacturing infrastructure.

Key Highlights:

1. Business Segments: The company's operations are primarily engaged in three product categories a) Contrast media intermediates, b) High-intensity sweeteners and c) Pharma intermediates & APIs.

a. Contrast Media Intermediates: Contrast media are agents used in medical imaging to enhance the visibility of body tissues under X-rays, computed tomography (CT), magnetic resonance imaging (MRI) or ultrasound.

b. High-intensity Sweeteners: High-intensity sweetener business involves development, manufacture and marketing of saccharin and its salts, which is backward integrated with the aim to ensure environmental sustainability with zero by-products and cost-effective production processes.

c. Pharma Intermediates and APIs: CDMO activity in the pharma intermediate and API business primarily focuses on collaborating with innovator pharmaceutical companies and multi-national generic pharmaceutical companies by providing them with pharma intermediates that serve as building blocks for APIs in chronic therapeutic areas, such as the cardiovascular system (CVS), oncology and central nervous system (CNS), including new chemical entities (NCEs).

2. Manufacturing Facility: The company currently operates three manufacturing facilities, which are located in Shahad (Unit 1), Ambarnath (Unit 2) and Mahad (Unit 3) in the state of Maharashtra, India, with an annual installed capacity of 200.6 KL, 607.3 KL and 213.0 KL, respectively, as of June'23. The company has strategically incurred capital expenditures to expand manufacturing capacity. In FY21, the company acquired a greenfield manufacturing site on a leasehold basis in Ambarnath (Unit 4). The manufacturing is driven by customer demands, which are contracted in advance. Given the nature of the medium to long-term supply contracts with the customers, the company is able to plan for capacity utilization and expansion ahead of time.

3. Capacity expansion: The company further plans to expand its capacity from 1020.9 KL to 1513.6 KL by FY25. Unit 2/Unit 3 capacity will be increased from 607.3/213.0 KL to 743.0/499.0 KL by FY25. Additional Unit 4 (Greenfield) capacity is expected to add 71.0 KL.

Valuation: BJHL offers niche products to multi-national generic pharmaceutical companies and has over two decades of experience. It has long-standing relationships and multi-year contracts with multi-national customers. The company has no comparable peers offering similar businesses and products. The company is valued at FY23PE multiple of 37.5x and EV/EBITDA of 27.1x, at the upper price band on post-issue capital. We recommend investors to subscribe the issue for a long-term investment horizon.

Issue Details	
Date of Opening	25 th October 23
Date of Closing	27 th October 23
Price Band (Rs)	329 – 346
Issue Size (Rs cr)	798 – 840
No. of shares	2,42,85,160 (100% OFS)
Face Value (Rs)	2
Post Issue Market Cap (Rs cr)	5,707 – 6,001
BRLMs	Kotak, ICICI Securities, J.P. Morgan.
Registrar	Link Intime India Private Limited
Bid Lot	43 shares and in multiple thereof
QIB shares	50%
Retail shares	35%
NIB (HNI) shares	15%

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	17,34,65,415	100.0
Public & Others	10	0.0
Total	17,34,65,425	100.0

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	14,91,80,255	86.0
Public & Others	2,42,85,170	14.0
Total	17,34,65,425	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	14,91,80,255	86.0
Public & Others	2,42,85,170	14.0
Total	17,34,65,425	100.0

Source: RHP, SSL Research

Key Financials

	FY21	FY22	FY23	3MFY23	3MFY24
Revenue from operation (Rs cr)	499	683	721	145	180
EBITDA (Rs cr)	206	249	219	38	59
Profit (Rs cr)	136	182	160	28	44
EBITDA Margin (%)	41.3	36.5	30.4	26.5	32.8
Profit Margin (%)	27.2	26.6	22.2	19.3	24.6
EPS	8.3	10.5	9.2	1.6*	2.5*
PE (x)	41.8	33.1	37.5	216.3*	138.4*
P/BV (x)	17.7	11.5	8.8	10.9*	8.3*
ROE (%)	40.7	34.8	23.5	5.1*	6.1*
ROCE (%)	49.9	47.3	32.0	6.7*	8.0*
Debt / Equity (x)	0.2	-	-	-	-

* Not Annualized

** PE(x) is calculated on upper price band

*** P/BV (x) is calculated on upper price band

Source: RHP, SSL Research

Risk Factors

- **Concentrated customer base:** The company business is dependent on the sale of the products to a limited number of key customers. The top 10 customers contribute around 84% (FY23) of the total sales.
- **Highly concentrated on exports:** The company is dependent on Europe and the United States, which are regulated markets, for a significant portion of the revenue from operations. Europe/USA contributes 80%/4% of the total FY23 sales.
- **New products:** If the company is not able to commercialize new products in a timely manner, the business, financial condition, and prospects will be adversely affected.
- **Production capacity:** Any inability to successfully expand the production capacity could have an adverse effect on the business, results of operations, financial condition and cash flows.
- **Break down:** A slowdown or shutdown in the manufacturing operations could have an adverse effect on the business, results of operations, financial condition and cash flows.

Growth Strategy

- **Forward integration:** Continue to forward integrate into more advanced intermediates for Contrast Media.
- **Long term relationship:** Leveraging long-standing customer relationships to continue entering adjacencies in the pharma intermediate and API category.
- **Production capacity:** Build additional production capacity to keep in step with the envisaged increase in customer demands.
- **Research and development:** Continue to invest in R&D infrastructure and capabilities.

Revenue Contribution from Business Segments

(Rs cr)	FY21	FY22	FY23	3MFY23	3MFY24
Contrast media intermediates	354	478	507	86	129
High-intensity sweeteners	99	157	176	52	40
Pharma intermediates and API	42	41	34	6	9
Others*	0	0	2	0	0
Revenue from operations from contracts with customers	494	677	718	144	179

Source: RHP, SSL Research

Geography Mix

	FY21	FY22	FY23	3MFY23	3MFY24
Europe	80%	76%	74%	64%	78%
India	15%	17%	14%	19%	12%
USA	3%	4%	5%	6%	4%
Others	2%	3%	7%	10%	6%
Total	100%	100%	100%	100%	100%

Source: RHP, SSL Research

Key Customers

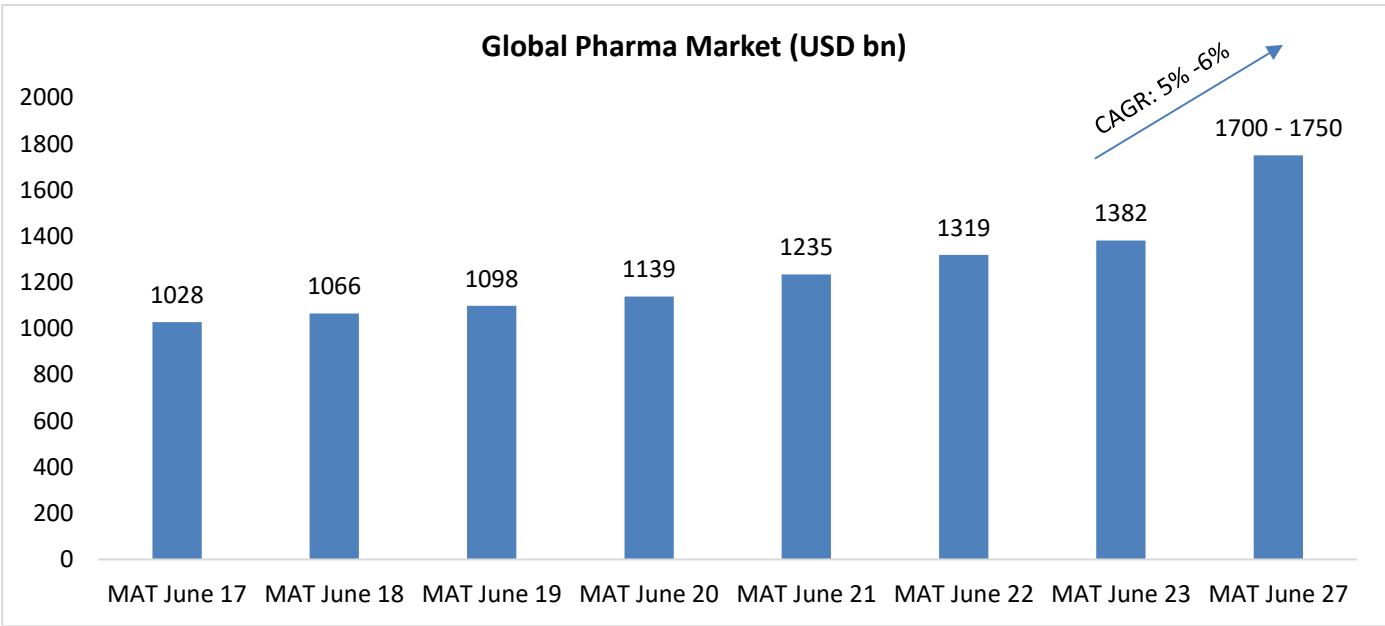
Contrast Media Intermediates	GE Healthcare AS
	Guerbet Group
	Bracco Imaging S.p.A.
High-intensity Sweetener	Colgate-Palmolive (India) Ltd
	Unilever
	Prinova US LLC
	MMAG Co. Ltd
Pharma Intermediates, API and CDMO	Olon S.p.A
	Hovione Farmaciência S.A.
	Bial - Portela & CA, S.A.
	Esperion Therapeutics Inc

Source: RHP, SSL Research

Industry Overview

Global Pharma Market

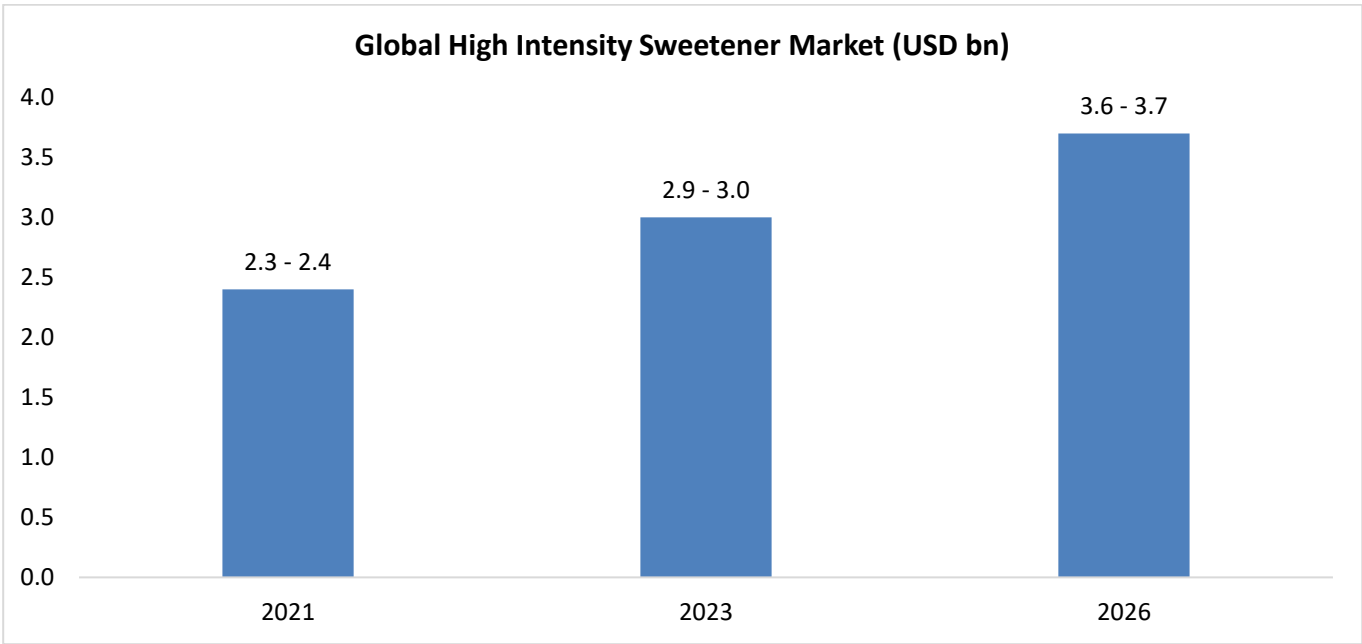
The global formulation market was estimated at USD 1,382 bn in MAT June’23 and is expected to grow at a CAGR of 5-6% to reach USD 1,700-1,750 bn by MAT June’27. Growth in the global pharmaceutical market is a function of (a) the launch of novel therapies, including biologics, (b) the expansion of existing therapies into newer geographies and adjacent indications (c) growing demand for generic medicines and (d) initiatives taken by pharmaceutical companies and governments globally for accelerated access to drugs.



Source: RHP, SSL Research

Global High-Intensity Sweetener Market (USD bn)

In 2023, the global high-intensity sweetener market was estimated to be a USD 2.9 to USD 3.0 bn in size, comprising products such as Sucralose, Aspartame, Saccharine and Stevia and Neotame. The high-intensity sweeteners market is estimated to grow at a CAGR in the range of 6% to 7% over the next 5 years.



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT			
(Rs cr)	FY21	FY22	FY23
Revenue from Operations	499	683	721
% YoY growth	-	37.0	5.5
Cost Of Revenues (incl Stock Adj)	169	287	336
Gross Profit	329	396	385
Gross margins (%)	66.0	57.9	53.4
Employee Cost	29	33	42
Other Operating Expenses	94	114	124
EBITDA	206	249	219
EBITDA margins (%)	41.3	36.5	30.4
Other Income	9	19	24
Net Interest Exp.	5	3	1
Depreciation	20	22	25
Exceptional Items	-5	0	0
PBT	185	243	217
Tax	49	62	57
Adj PAT	138	182	160
PAT margin (%)	27.8	26.6	22.2
Adj. EPS	8.3	10.5	9.2

BALANCE SHEET			
(Rs cr)	FY21	FY22	FY23
Assets			
Net Block	139	156	151
Capital WIP	3	3	30
Other Non current Assets	5	5	16
Current Assets			
Current Investment	37	94	189
Inventories	118	105	126
Trade receivables	144	227	239
Cash and Bank Balances	70	88	66
Other Current Assets	21	34	45
Total Current Assets	390	548	665
Current Liabilities & Provisions			
Trade payables	60	57	54
Other current liabilities	80	113	118
Short-term provisions	0	5	2
Total Current Liabilities	140	175	174
Net Current Assets	250	374	491
Total Assets	396	539	688
Liabilities			
Share Capital	10	35	35
Reserves and Surplus	330	487	647
Total Shareholders Funds	340	522	681
Total Debt	52	-	-
Long Term Provisions	3	4	4
Other Long Term Liabilities	1	14	3
Total Liabilities	396	539	688

CASH FLOW (Rs cr)	FY21	FY22	FY23
Cash flow from Operating Activities	129	146	142
Cash flow from Investing Activities	-51	-76	-147
Cash flow from Financing Activities	-27	-56	-4
Free Cash Flow	119	91	30

RATIOS			
	FY21	FY22	FY23
Profitability			
Return on Assets (%)	25.8	25.5	18.6
Return on Capital (%)	49.9	47.3	32.0
Return on Equity (%)	40.7	34.8	23.5
Margin Analysis			
Gross Margin (%)	66.0	57.9	53.4
EBITDA Margin (%)	41.3	36.5	30.4
Net Income Margin (%)	27.7	26.6	22.2
Short-Term Liquidity			
Current Ratio (x)	2.4	3.1	3.8
Quick Ratio (x)	1.7	2.5	3.1
Avg. Days Sales Outstanding	105	121	121
Avg. Days Inventory Outstanding	86	56	64
Avg. Days Payables	44	30	27
Fixed asset turnover (x)	3.6	4.4	4.8
Debt-service coverage (x)	3.6	75.5	161.2
Long-Term Solvency			
Debt / Equity (x)	0.2	–	–
Interest coverage (x)	36.8	74.7	160.4
Valuation Ratios			
EV/EBITDA (x)	29.0	23.7	27.1
PE (x)	41.8	33.1	37.5
P/BV (x)	17.7	11.5	8.8

Source: RHP, SSL Research

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